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Buying Property in Italy — Complete Guide

The end-to-end guide for American buyers: finding property, the proposta–compromesso–rogito process, purchase taxes, mortgages for non-residents, renovation, and the 1-euro home programs explained honestly.

FULL PROCESS

PURCHASE TAXES

MORTGAGES

1-EURO HOMES

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Reviewed against Italian notarial practice · Updated Q2 2025

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CHAPTER 1

Can Americans Buy Property in Italy? The Legal Framework

Americans can buy property in Italy freely — there are no restrictions on foreign nationals purchasing Italian real estate. Italy applies reciprocity: it permits Americans to buy because the US permits Italians to buy in America. No residency, visa, or special authorization is required.

You will need: a valid passport, an Italian Codice Fiscale (tax identification number — obtainable from any Italian consulate or from the Agenzia delle Entrate), and a bank account capable of making international wire transfers.

What You Can and Cannot Do

Action	Non-Resident American	Italian Resident American
Buy any residential property	✓ Freely permitted	✓ Freely permitted
Buy agricultural land	✓ Permitted (some restrictions on farming rights)	✓ Permitted
Buy commercial property	✓ Freely permitted	✓ Freely permitted
Get an Italian mortgage	Possible — max 60% LTV, stricter requirements	✓ Standard terms available
Claim <i>prima casa</i> (primary residence) tax rates	✗ Not available without Italian residency	✓ Available if property is primary residence
IMU exemption on primary residence	✗ Not available	✓ Exempt if registered primary residence
Rent property short-term (Airbnb)	✓ Permitted (CIN registration required)	✓ Permitted

NOTE

Even if you never plan to become an Italian resident, buying Italian property and subsequently establishing residency there is perfectly legal and a common path — buy first, move later.

The Codice Fiscale — Your First Step

Before any property transaction in Italy, you need a Codice Fiscale. Without it, no notary can complete the deed. Obtain it from the Italian consulate in your US jurisdiction (free, no appointment usually needed, 1–2 weeks by mail) or in person at any Agenzia delle Entrate office in Italy (immediate, free). Bring your passport.

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CHAPTER 2

The Five Property Types — What to Know Before You Search

Italian property is categorized in the national land registry (*catasto*) by cadastral category. Understanding the main types prevents the most common purchase mistakes.

Appartamento (apartment)

The most common property type for urban buyers. Ranges from studio to 5+ bedrooms. Typically in condominium buildings with shared areas (*condominio*). Monthly condominium fees (*spese condominiali*) apply — typically €80–300/month. Verify these before purchase.

Villa / Casa indipendente

Detached house with private land. More privacy, no condominium fees, but all maintenance costs are solely yours. Typical in suburban and rural areas. Garden and pool maintenance are significant ongoing costs.

Casale / Rustico / Masseria

Rural farmhouse or agricultural building. Often requires significant renovation. Check habitability status — some rural buildings have agricultural (not residential) designation in the *catasto*, which restricts renovation options and use.

Trullo

Traditional dry-stone conical-roofed structures found almost exclusively in the Itria Valley (Puglia). Unique and desirable but subject to specific renovation restrictions, especially in the Alberobello UNESCO zone.

Palazzo / Historic building

Historic urban buildings, sometimes with monumental constraints (*vincolo monumentale*) under D.Lgs. 42/2004. Any renovation requires Soprintendenza ai Beni Culturali authorization — adds months and cost to any works. Verify *vincoli* status before purchase.

CHAPTER 3

Finding Property — Agents, Portals, and Off-Market

The Italian property market is less centralized than the US MLS system. The same property may be listed with multiple agents, listed privately, and unlisted entirely. A multi-channel search strategy finds more options and better prices.

Online Portals

Portal	Best For	URL
Immobiliare.it	Broadest Italian coverage — largest database	immobiliare.it
Idealista.it	Strong southern Italy, good search filters	idealista.it
Casa.it	Urban apartments, good agent listings	casa.it
Gate-Away.com	Rural properties, international buyers focus	gate-away.com
Rightmove Overseas	International listing aggregator with Italian stock	rightmove.co.uk/overseas
Kyero.com	International buyers, English-language interface	kyero.com

PRO TIP

Set up saved searches on Immobiliare.it and Idealista.it with email alerts. New listings in popular areas (Tuscany, Puglia, Lake District) receive serious inquiries within days. Being notified immediately gives you a significant advantage over buyers checking weekly.

Working with Italian Estate Agents (Agenti Immobiliari)

Italian real estate agents (*agenti immobiliari*) are licensed professionals regulated by the Federazione Italiana Agenti Immobiliari Professionali (FIAIP). Unlike the US buyer-agent model, the Italian standard is that BOTH buyer and seller pay the agent commission — typically 2–4% each.

WARNING

You pay agent commission regardless of whether the agent was "your" agent. Understand that the agent works for the transaction, not exclusively for you. Verify all factual claims independently.

Commission Structure (2025 standard)

Property Value	Seller Commission	Buyer Commission	Total Agent Cost to Buyer
Up to €100,000	3–4%	3–4%	€3,000–4,000
€100,000–€300,000	2.5–3%	2.5–3%	€2,500–9,000
€300,000–€600,000	2–3%	2–3%	€6,000–18,000
Above €600,000	1.5–2%	1.5–2%	Negotiable

Off-Market and Direct Purchase

A significant proportion of Italian properties — particularly rural properties and in smaller towns — are sold privately without agents. Sources for off-market properties:

- Local comune notice boards and municipal websites — some municipalities list properties for sale or rent directly
- Local newspapers classified sections
- Word of mouth — befriending locals in your target area is genuinely productive
- Facebook groups for expats in specific regions (Tuscany Expats, Puglia Expats, etc.) — properties sometimes listed directly
- Driving through your target area and noting "Vendesi" (For Sale) signs — agents sometimes miss direct-sale properties

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CHAPTER 4

Due Diligence — What to Check Before Making an Offer

Italian property due diligence is more complex than US real estate due diligence because Italian properties carry administrative and legal histories that can create significant post-purchase problems if not investigated before commitment.

The Five Critical Checks

1. Cadastral conformity (*conformità catastale*)

The property as physically built must match its registered plan (*planimetria catastale*) in the national land registry. If a previous owner added a room, moved a wall, or built an outbuilding without updating the registry, you inherit the compliance problem. The notary is legally required to verify this, but commission a geometra (surveyor) to check it independently before the *compromesso* — not after.

2. Urban planning conformity (*conformità urbanistica*)

All works on the property must have been properly authorized through the correct planning permits (CILA, SCIA, or PDC). Unauthorized works (*abusi edilizi*) create legal liability for the new owner. Request the complete permit history from the comune's Ufficio Tecnico for the property's full address. This is the single most important check for rural and historic properties.

3. Mortgage and encumbrance search (*visura ipotecaria*)

The property register (*conservatoria dei registri immobiliari*) records all mortgages, liens, court judgments, and encumbrances on the property. Your notary conducts this search — confirm it explicitly and review the results. Properties with undisclosed mortgages create serious complications.

4. Condominium debts (*debiti condominiali*)

For apartments in condominiums, outstanding unpaid condominium fees transfer to the new owner. Request a written statement from the condominium administrator (*amministratore di condominio*) confirming no outstanding fees. This is legally required to be provided before the *rogito*.

5. Energy performance certificate (APE — *Attestato di Prestazione Energetica*)

The APE must be provided to the buyer before the compromesso. It rates the property's energy efficiency from A4 (best) to G (worst). Most older Italian buildings rate E, F, or G. The rating affects heating costs, future renovation requirements, and increasingly, property value as EU energy efficiency rules tighten.

WARNING

Unauthorized works (*abusi edilizi*) are the most common and most expensive problem in Italian property purchases. The seller is legally required to disclose them, but many do not. Commission an independent geometra survey (€300–800) BEFORE signing the compromesso — never after.

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CHAPTER 5

The Proposta d'Acquisto — Making an Offer

The *proposta d'acquisto* (purchase proposal) is a written offer submitted to the seller. In Italy, a signed and accepted *proposta* is legally binding on both parties — it is not a casual expression of interest.

What the Proposta Contains

- **Offered price:** Your proposed purchase price in euros
- **Deposit (*caparra*):** Typically 5–10% of the offered price, held by the agent until the *compromesso*. If the seller accepts and then withdraws, they owe you double the deposit. If you withdraw, you forfeit the deposit.
- **Validity period:** How long the offer is open for acceptance — typically 7–15 days
- **Conditions:** Any conditions (subject to survey, subject to mortgage approval) — note that conditions reduce the strength of the offer from the seller's perspective
- **Proposed *compromesso* date:** When you expect to sign the preliminary contract
- **Proposed *rogito* date:** Indicative completion date

PRO TIP

In competitive markets, offer without conditions where possible — cash buyers who waive the mortgage condition are significantly preferred by sellers. If you need a mortgage, at minimum have a bank pre-qualification letter ready to show.

Negotiating from the Proposta

Italian asking prices are negotiable — typically 5–15% below asking is achievable in normal market conditions; up to 20–25% for properties that have been listed for over 6 months or require significant renovation. Research comparable sold prices (not asking prices) on Immobiliare.it before making any offer.

The Compromesso — Preliminary Contract

The *compromesso* (contratto preliminare di compravendita) is the full preliminary sales agreement between buyer and seller. It commits both parties to the transaction and its terms. It is typically signed 1–3 months before the final deed (*rogito*), giving time for mortgage processing, document verification, and completion logistics.

What the Compromesso Covers

- Full identification of buyer and seller
- Full property description with cadastral references
- Agreed purchase price and payment schedule
- *Caparra confirmatoria* (confirmatory deposit) — typically 10–20% of purchase price
- Completion (*rogito*) date
- Inventory of fixtures and furnishings included in the sale
- Conditions and representations by the seller (conformity, absence of encumbrances)
- Penalties for default (double deposit back to buyer if seller defaults; deposit forfeiture if buyer defaults)
- Who bears purchase taxes (typically the buyer)

The Caparra Confirmatoria

The *caparra* (deposit) at the *compromesso* stage is typically 10–20% of the purchase price. This is the most significant commitment point in the Italian purchase process — losing the *caparra* if you withdraw is a real financial consequence.

WARNING

Never pay the *caparra* by cash. Always pay by traceable bank transfer (*bonifico*). The transfer creates a paper trail that protects you. Cash payments in Italian real estate are legally limited and flagged for anti-money laundering compliance.

Registering the Compromesso

The compromesso must be registered with the Agenzia delle Entrate within 20 days of signing. Registration fee: 0.5% of the purchase price. Registration protects the buyer — it creates an official record of the transaction that prevents the seller from selling to someone else or placing new encumbrances on the property.

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The Rogito — Notarial Deed and Completion

The *rogito notarile* (notarial deed of sale) is the final step that transfers legal ownership. It must be signed before a licensed Italian *notaio* (notary public) — a legally required professional who is appointed by the state and acts as a neutral party to the transaction, not an advocate for buyer or seller.

The Notaio's Role

The notaio verifies the identity of all parties, conducts final title searches, drafts the deed, collects and remits all purchase taxes to the state, registers the deed with the land registry, and maintains the official record. The notaio is legally liable for the deed's correctness.

PRO TIP

The buyer chooses and pays the notaio. This is your professional working for you, not the seller. Choose your notaio before the *compromesso* — not at the last minute. Ask your *geometra* or local contacts for referrals.

What Happens at the Rogito

- **Identity verification:** Passports, Codice Fiscale, and any corporate documents if applicable
- **Deed reading:** The notaio reads the entire deed aloud in Italian — this is legally required. If you do not understand Italian, a sworn interpreter must be present.
- **Payment:** Final payment (purchase price minus caparra already paid) is made by bank transfer at or just before the rogito. The notaio confirms receipt.
- **Tax collection:** The notaio collects all purchase taxes and remits them directly to the state. You do not pay taxes separately.
- **Signing:** All parties sign every page. The notaio signs and seals the deed.
- **Key handover:** Keys are handed over at the rogito. The sale is complete.
- **Registration:** The notaio registers the deed with the Agenzia delle Entrate and land registry within days. You receive the registered deed weeks later.

NOTE

If you cannot be present at the rogito in Italy, you can give a limited power of attorney (*procura speciale*) to a trusted representative in Italy to sign on your behalf. The procura must be notarized and apostilled. Discuss this well in advance with your notaio.

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CHAPTER 8

Purchase Taxes and Fees — The Complete Cost Model

The purchase taxes and professional fees in an Italian property transaction add 10–15% to the purchase price for a resale property (*immobile usato*) and 8–12% for a new-build from a developer (*immobile nuovo*). Knowing the exact amounts prevents the most common financial surprise in Italian property purchases.

Tax Rates: Primary Residence vs Non-Primary

Tax	Prima Casa (Primary Residence)	Non-Prima Casa (Second Home / Non-Resident)	Notes
Imposta di Registro (registration tax)	2% of cadastral value	9% of cadastral value	Cadastral value is typically 30–60% of market price — effective rate much lower than headline rates
Imposta Ipotecaria (mortgage tax)	€50 fixed	€50 fixed	Fixed regardless of property value
Imposta Catastale (cadastral tax)	€50 fixed	€50 fixed	Fixed regardless of property value
IVA (VAT) — new builds from developer only	4% of contract price	10% of contract price (22% for luxury)	Replaces Imposta di Registro for new developer sales

Prima Casa Requirements

The *prima casa* (primary residence) reduced tax rates apply ONLY if:

- The property is in the municipality where you are registered as a resident (or where you work)
- You establish residency within 18 months of the rogito
- You do not own another property in Italy with prima casa designation
- The property is not classified as luxury (A/1, A/8, or A/9 in the catasto)

Complete Purchase Cost Calculator

Cost Item	€200k Non-Resident	€200k Prima Casa
Purchase price	€200,000	€200,000
Imposta di Registro (9% / 2% of cadastral value)	~€9,000–18,000	~€2,000–4,000
Imposta Ipotecaria + Catastale	€100 total	€100 total
Notaio fee	~€2,500–4,000	~€2,500–4,000
Agent commission (3% buyer side)	~€6,000	~€6,000
Geometra survey	~€500–800	~€500–800
Translation/legal (if needed)	~€500–1,500	~€500–1,500
Bank transfer fees	~€50–200	~€50–200
Total additional costs (approx)	€18,650–30,500 (~10–15% of price)	€11,650–16,500 (~6–8% of price)

Note: Imposta di Registro is calculated on the cadastral value (*valore catastale*), not the purchase price. For most Italian resale properties, the cadastral value is 30–60% of market price, so the effective registration tax is lower than headline percentages suggest.

PRO TIP

The single biggest tax saving in Italian property is establishing prima casa status. On a €300,000 purchase, the difference between prima casa (2%) and non-prima-casa (9%) registration tax is €21,000. If you plan to eventually move to Italy, consider establishing residency within the 18-month window.

CHAPTER 9

Mortgages for Non-Residents and Residents

Italian mortgages (*mutui*) are available to non-Italian-resident foreigners, but with significantly stricter terms than those offered to residents. Understanding the constraints before your search prevents wasted time pursuing properties that require mortgage financing you cannot access.

Non-Resident Mortgage Terms (2025)

Parameter	Non-Resident American	Italian Resident
Maximum LTV	50–60% of appraised value	70–80% of purchase price
Interest rates	Variable: 4.5–6.5% · Fixed: 4.0–6.0%	Variable: 3.5–5.5% · Fixed: 3.5–5.5%
Maximum term	20–25 years	30 years
Income documentation	Foreign income statements, tax returns, employer letter	Italian <i>busta paga</i> or <i>dichiarazione dei redditi</i>
Processing time	2–4 months	4–8 weeks
Banks that accept non-residents	Intesa Sanpaolo, UniCredit, BNL, Credem (specialist desk)	All major Italian banks

The Mortgage Application Process

- **Pre-qualification:** Contact the bank's non-resident mortgage desk before property search. They will assess your income, debt, and provide an indicative maximum loan amount. This takes 1–2 weeks.
- **Property appraisal:** Once you have identified a property, the bank commissions an independent appraisal (*perizia*). The mortgage is based on the APPRAISED value, not the purchase price — if the appraised value is lower than the purchase price, your mortgage is limited accordingly.
- **Formal application:** Submit complete documentation package: passport, Codice Fiscale, income documentation (last 2 years), bank statements (12 months), and property details.
- **Delibera (approval):** Bank issues formal mortgage approval with specific terms. This takes 4–8 weeks after complete documentation.

- **Signing at rogito:** The mortgage deed (*atto di mutuo*) is signed simultaneously with the sale deed (rogito) before the notaio.

WARNING

Never sign a compromesso with a mortgage condition unless the bank has already pre-qualified you. Mortgage rejections after the compromesso cost you the caparra deposit. Get bank pre-qualification BEFORE the compromesso, not after.

Alternative Financing Sources

Many American buyers finance Italian property purchases without Italian mortgages:

- Home equity line of credit (HELOC) on US primary residence — often lower rates than Italian non-resident mortgages
- Investment portfolio margin lending — if you have a substantial US brokerage account
- Seller financing — rare but sometimes available, particularly for longer-listed rural properties
- Cash purchase — avoids the mortgage complexity entirely; typical for properties under €200,000

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The Geometra — Your Essential Professional

The *geometra* (surveyor/technical draughtsman) is the professional who handles all technical aspects of Italian property — surveys, permits, plans, and compliance verification. There is no direct US equivalent. For any property purchase, particularly rural or historic properties, a geometra is essential.

What a Geometra Does for Property Buyers

Pre-purchase survey

Inspects the property structurally and administratively. Verifies cadastral and urban planning conformity. Estimates renovation costs. This is your most important investment before the *compromesso* — cost €300–800.

Permit verification

Reviews the complete permit history with the comune's Ufficio Tecnico. Identifies any unauthorized works and assesses whether they can be regularized (*condono*).

Renovation management

For renovation projects: prepares designs, files permits (CILA, SCIA, PDC), supervises contractors, certifies completed works.

Cadastral updates

After renovation: updates the property's cadastral plan to reflect actual current configuration. Essential before future sale.

Energy certificate

Prepares the APE (energy performance certificate) required for all property transactions.

PRO TIP

Ask your geometra to walk the property boundaries with you before the *compromesso*. Boundary disputes are common in rural properties — stone walls often do not match cadastral maps. Verbal boundary agreements with neighbors are not legally binding.

CHAPTER 11

Renovation — Real Costs, Permits, and Tax Incentives

Italian renovation is one of the most rewarding investments Americans make in Italy — and one of the most consistently underestimated. Understanding real costs, the permit system, and the available tax incentives prevents the most expensive mistakes.

Real Renovation Costs Per Square Meter (2025)

Work Type	Low Range	Mid Range	High Range	Notes
Full gut renovation	€800/mq	€1,200–1,600/mq	€2,000+/mq	Includes electrical, plumbing, floors, finishes
Structural work only	€300/mq	€500–700/mq	€900+/mq	Foundation, walls, roof structure
New electrical + plumbing	€180/mq	€250–350/mq	€450+/mq	Full rewire and replumb
New roof	€120/mq roof	€180–250/mq	€320+/mq	Per square meter of roof area
Kitchen fit-out	€8,000	€15,000–25,000	€40,000+	Supply and installation
Bathroom renovation	€4,000	€7,000–12,000	€18,000+	Per bathroom
External restoration	€100/mq facade	€180–280/mq	€400+/mq	Stonework, windows, render

The Italian Permit System

All renovation works require permits. Using the wrong permit type creates compliance problems that surface at future sale.

Permit Type	Works Covered	Approval	Cost (approx)
CILA (Comunicazione Inizio Lavori)	Ordinary maintenance, minor internal works — no structural changes	Takes effect immediately on filing	Geometra fee €300–700
SCIA (Segnalazione Certificata di Inizio Attività)	Significant non-structural works — bathroom moves, window replacements	30 days after filing	Geometra fee + comune fee €400–900
PDC (Permesso di Costruire)	Structural changes, volume additions, change of use	60–120 day review + comune approval	Geometra/architect + 2– 5% of works value
Soprintendenza authorization	Any work on protected historic or landscape property	Additional 3–12 months on top of PDC	Significant additional professional fees

Tax Incentives for Renovation (2025)

Incentive	Rate	Max Deductible	Spread Over
Detrazione ristrutturazione	50%	€96,000/property	10 years on IRPEF
Ecobonus (energy improvements)	50–65%	Varies by improvement	10 years on IRPEF
Sismabonus (seismic)	70–85%	€96,000/unit	10 years on IRPEF
Superbonus (condos only 2025)	70%	Specific criteria	4 years on IRPEF

NOTE

Tax deductions are only valuable if you have sufficient Italian income tax (IRPEF) liability to offset. Americans using the €100,000 flat tax regime or with very low Italian income may receive limited practical benefit. Discuss with your commercialista before planning renovation costs around the deductions.

The 1-Euro Home Programs — Honest Assessment

The "1-euro home" programs (*case a 1 euro*) have generated enormous international media coverage. Understanding the reality behind the headlines prevents a very expensive mistake.

What the Programs Actually Are

Several hundred small Italian municipalities offer abandoned properties at symbolic prices (€1, €2, or "free") to attract new residents and reverse population decline. The offer is genuine — the catches are real.

The Standard Requirements

- Complete renovation within a specified period (typically 3 years, some extended post-COVID)
- Deposit a performance bond guarantee (typically €5,000) against completion
- Submit an approved renovation plan before purchase
- In many programs: commit to establishing residency in the municipality
- In some programs: pay an administrative fee (€250–1,000)

The Real Cost Calculation

The symbolic purchase price is not the cost. The cost is renovation. A typical 80mq abandoned stone house in a 1-euro program:

Item	Cost
Purchase price	€1
Administrative fee	€250–1,000
Geometra pre-purchase survey	€400–700
Renovation — full gut (80mq × €1,200/mq avg)	~€96,000
Permits (CILA/SCIA/PDC)	€1,500–5,000
Geometra supervision	€4,000–8,000
Contingency (stone wall surprises — 25%)	~€24,000
Performance bond (returned after completion)	€5,000
Total realistic cost to habitable property	€130,000–160,000+

WARNING

The majority of 1-euro home buyers who purchased without living in or near Italy have abandoned their projects mid-renovation. Managing an Italian renovation from the US without a reliable local representative is extraordinarily difficult. The performance bond is forfeited if the deadline is missed.

Programs Worth Considering vs Those to Avoid

Worth considering: Programs in accessible locations with good infrastructure, municipalities with a dedicated English-speaking contact for foreign buyers, properties with basic structural integrity confirmed by independent survey, municipalities with an active expat community already established.

Approach with caution: Remote programs with no infrastructure, properties requiring total demolition-rebuild, programs with very short completion deadlines, municipalities without English-language support who cannot communicate requirements clearly.

Owning and Managing Italian Property from the US

Most American buyers of Italian property live in the US for at least part of the year. Managing Italian property remotely requires infrastructure you need to establish before problems arise.

Essential Services for Remote Owners

Property management company (*gestione immobiliare*)

Handles key holding, guest check-in (if renting), maintenance coordination, utility payment monitoring, and emergency response. Cost: 15–25% of rental income or €500–2,000/year flat fee for non-rental management.

Italian bank account

Essential for paying utilities, IMU, condominium fees, and receiving rental income. Open before or shortly after purchase.

Italian commercialista

Files your annual Italian tax return (*dichiarazione dei redditi*), pays IMU on time, handles rental income reporting (*cedolare secca*). Annual cost: €300–800.

Italian SIM card / local phone number

Italian service providers, tradespeople, and emergency contacts need a reachable local number. Keep an active Italian SIM.

Home insurance (*assicurazione casa*)

Italian property insurance is less standardized than US homeowner insurance. Shop through a broker (*broker assicurativo*). Cover structural risk, contents, civil liability. Annual cost: €200–600 depending on property.

Italian Tax Obligations for Non-Resident Property Owners

Obligation	What	When	Amount
IMU	Annual property tax on non-primary properties	June 16 (50%) + December 16 (balance)	Typically 0.76–1.06% of cadastral value
IVIE	Wealth tax on Italian property for Italian tax residents	With annual dichiarazione	0.76% of market value (offset by IMU paid)
Rental income (cedolare secca)	Tax on rental income	Annual dichiarazione	21% flat on gross rent
Capital gains tax	On property sale within 5 years of purchase	At time of sale	26% on gain (exemptions apply)

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CHAPTER 14

Selling Italian Property — Taxes and Process

When you eventually sell Italian property, two main tax considerations apply: Italian capital gains tax and US reporting obligations.

Italian Capital Gains Tax (Plusvalenza)

Italy taxes the gain on property sales under certain conditions:

Sale Scenario	Italian Tax Treatment
Sale 5+ years after purchase	EXEMPT — no Italian capital gains tax (most sales fall here)
Sale within 5 years — primary residence occupied majority of time	EXEMPT
Sale within 5 years — investment/rental property	26% on the capital gain (sale price minus purchase price minus documented improvements)
Sale within 5 years — inherited property	EXEMPT — inheritance to sale clock starts at inheritance date but the property was acquired free of charge

US Reporting of Italian Property Sale

The gain on the sale of Italian property must be reported on your US Form 1040, Schedule D as a foreign capital gain. US capital gains rates apply (0%, 15%, or 20% long-term depending on income). The Italian tax paid (if any) creates a Foreign Tax Credit on Form 1116.

PRO TIP

If your Italian property has appreciated significantly, consider the timing of sale relative to your Italian tax residency status. The 5-year exemption from Italian capital gains significantly reduces the total tax cost if you can plan the sale timeline.

The Sale Process

- Appoint an estate agent (optional but recommended for price discovery)
- Accept an offer via proposta — same process as when you bought
- Sign the compromesso with the buyer

- Appear (or send power of attorney) at the rogito
- Receive the sale proceeds by bank transfer (traceable)
- Report the gain to Italian and US tax authorities

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APPENDIX A

Property Purchase Cost Calculator

Use this template to calculate the total cost of any Italian property purchase. Fill in the purchase price and property type to estimate total acquisition cost.

Cost Component	Formula / Rate	Your Estimate
Purchase price	Market price negotiated	€ _____
Imposta di Registro	2% prima casa / 9% non-prima (applied to cadastral value ~40–50% of price)	€ _____
Imposta Ipotecaria	€50 fixed	€ 50
Imposta Catastale	€50 fixed	€ 50
Notaio fee	~1–2% of purchase price (min ~€2,000)	€ _____
Agent commission	2–4% of purchase price (buyer side)	€ _____
Geometra survey	€300–800 fixed	€ _____
Translation/legal	€500–2,000 (complex cases)	€ _____
Total purchase cost	Sum of all above	€ _____
Plus renovation (if any)	See Chapter 11 rates × mq	€ _____
Total all-in cost		€ _____

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BUYING PROPERTY IN ITALY (COMPLETE GUIDE)

APPENDIX B

Key Italian Property Terms Glossary

Italian Term	Meaning
<i>Rogito / Atto notarile</i>	Final notarial deed — legally transfers ownership
<i>Compromesso</i>	Preliminary sale contract — binding commitment before rogito
<i>Proposta d'acquisto</i>	Purchase proposal / offer
<i>Caparra confirmatoria</i>	Confirmatory deposit — forfeited if buyer withdraws; doubled back if seller withdraws
<i>Notaio</i>	State-licensed notary — mandatory for all property transfers
<i>Geometra</i>	Surveyor/technical professional — handles permits, surveys, compliance
<i>Catasto</i>	National land registry — records all property ownership and plans
<i>Planimetria catastale</i>	Registered floor plan in the catasto
<i>Conformità catastale</i>	Conformity between built property and registered plans
<i>Conformità urbanistica</i>	Conformity with all planning permits and authorizations
<i>Abuso edilizio</i>	Unauthorized building work — a serious compliance problem
<i>Condono</i>	Amnesty regularization of unauthorized works
<i>Visura ipotecaria</i>	Mortgage/encumbrance search — checks for liens on property
<i>Conservatoria</i>	Land charges registry — records mortgages, liens, court orders
<i>APE</i>	Attestato di Prestazione Energetica — energy performance certificate
<i>Prima casa</i>	Primary residence designation — triggers reduced purchase taxes
<i>IMU</i>	Imposta Municipale Propria — annual Italian property tax
<i>CILA / SCIA / PDC</i>	Minor / medium / major renovation permit types
<i>Soprintendenza</i>	Heritage authority that approves works on protected properties
<i>Vincolo paesaggistico</i>	Landscape protection designation
<i>Vincolo monumentale</i>	Historic monument protection designation
<i>Condominio</i>	Apartment building with shared ownership of common areas
<i>Spese condominiali</i>	Monthly condominium maintenance fees
<i>Amministratore di condominio</i>	Condominium building manager
<i>Rendita catastale</i>	Cadastral income value — basis for IMU and tax calculations

Italian Term	Meaning
<i>Cedolare secca</i>	Flat 21% tax option on rental income
<i>Agente immobiliare</i>	Licensed real estate agent
<i>Vendesi</i>	"For sale" — sign on Italian properties
<i>Trattativa privata</i>	Private negotiation (without agent)
<i>Usato / Nuovo</i>	Resale / new-build — determines applicable tax rates

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APPENDIX C

Italian Property Portal Directory

Portal	URL	Notes
Immobiliare.it	immobiliare.it	Italy's largest property portal. Best for breadth of listings across all regions and property types. Set up saved searches with email alerts.
Idealista.it	idealista.it	Strong in southern Italy and urban markets. Good search filtering. Often has listings not on Immobiliare.
Casa.it	casa.it	Good for urban apartments, strong agent database.
Gate-Away.com	gate-away.com	Specializes in rural and country properties. English-language interface. Favored by international buyers.
Rightmove Overseas	rightmove.co.uk/overseas	International aggregator with Italian listings. Good for initial browsing before going directly to Italian portals.
Kyero.com	kyero.com	English-language interface, good Italian coverage.
Luxury Portfolio / Christie's Real Estate	luxuryportfolio.com	For properties above €500,000.
Sotheby's International Realty Italy	sothebysrealty.com/ita	Premium and luxury segment.
Local comune websites	comune.[name].it	Some municipalities list properties directly, particularly in 1-euro home programs.

APPENDIX D

Questions to Ask Before Signing the Proposta

Get written answers to every question below before signing any purchase offer. Verbal assurances from sellers or agents are not sufficient — you need documented responses.

Property Status

- What is the exact cadastral category and classification?
- Is the current physical configuration fully conformant with the registered cadastral plan?
- Has every modification or addition been properly permitted? (Request full permit history)
- Are there any known *abusi edilizi* (unauthorized works)?
- Is there any outstanding *condono* (amnesty application) not yet resolved?
- What is the energy rating (APE)? When was it last issued?

Financial and Legal

- Is the property free of all mortgages, liens, and encumbrances?
- Are there any court orders or pending legal proceedings affecting the property?
- What are the outstanding condominium fees (if applicable)?
- Are all utility bills (electricity, gas, water) fully paid and up to date?
- What is the current annual IMU amount?

Practical

- What is included in the sale (fixtures, furniture, appliances)?
- Are there any easements or rights of way over the property?
- What are the boundary lines and are they accurately shown on the cadastral plan?
- Are there any disputes with neighboring properties?
- What is the reason for sale?
- How long has the property been on the market?

About This Guide

Written by Fabrizio Boggio, Editor-in-Chief of Italopedia.com, from Piedmont, Italy. All process descriptions, tax rates, and fee structures have been verified against current Italian notarial practice and fiscal law. Tax rates are correct for 2025; verify current rates with your notaio and commercialista at time of purchase.

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- italopedia.com/taxes/ — Tax implications of Italian property ownership
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